EXECUTIVE SUMMARY

Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	P 241,889,405.66	P 199,993,613.06	P41,895,792.60
Total Liabilities	86,734,752.16	72,427,741.17	14,307,010.99
Total Government Equity	155,154,653.50	127,565,871.89	27,588,781.61
Results of Operation			
Total Income	109,666,915.84	101,063,467.36	8,603,448.48
Total Expenses	96,789,779.94	80,822,797.40	15,966,982.54
Appropriations, Allotments and Obligations			
Appropriations - Current	128,403,070.50	104,501,348.00	23,901,722.50
Appropriations - Continuing	33,965,866.80	12,871,655.70	21,094,211.10
Allotments - Current	107,144,740.05	92,970,463.25	14,174,276.80
Allotments - Continuing	5,187,338.93	4,312,966.28	874,372.65
Obligations – Current	93,275,672.34	87,995,208.84	5,280,463.50
Obligations – Continuing	4,996,945.90	3,448,834.18	1,548,111.72

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2016 were P241,889,405.66, P86,734,752.16 and P155,154,653.50 with an increase of 21%, 20% and 22%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P109,666,915.84 and P96,789,779.94 which increased by 9% and 20%, respectively, from last year's figures.

Comparative Statement of Fund Transfers to and from NGAs, GOCCs, and LGUs are as follows:

	2016	2015	Increase (Decrease)
Funds Received from Other Agencies:			
Due from National Government Agencies	P -	P -	P -
Due from Government-Owned and/or Controlled Corporations	-	-	-
Due from Local Government	2,181,613.10	1,533,733.84	647,879.26

Units			
TOTAL	**2,181,613.10**	**1,533,733.84**	**647,879.26**
Funds Transferred to Other Agencies:			
Due to NGAs	8,082,585.69	10,660,256.36	(2,577,670.67)
Due to GOCCs	-	3,106.04	(3,106.04)
Due to LGUs	1,468,697.75	1,466,754.07	1,943.68
TOTAL	**9,551,283.44**	**12,130,116.47**	**(2,578,833.03)**

Funds received by the Municipality from Other Agencies amounted to P2,181,613.10 with an increase of 42% from last year's figures. On the other hand, funds transferred to Other Agencies amounted to P9,551,283.44.

A. Operational Highlights

For the year 2016, the Municipality of Calayan appropriated the total amount of P128,403,070.50 of which P93,275,672.34 has been obligated as of year-end. Continuing appropriations for the year amounted to P33,965,866.80 which had a remaining balance of P28,968,920.90 as of year-end (see Annex 2).

The significant accomplishments of the Municipality during the year 2016 were as follows:

NAME OF PROJECT	SOURCE OF FUND	PROJECT COST	STATUS OF IMPLEMENTATION
1. Solar Electrification Project	20% Development Fund	4,971,988.17	100% Completed
2. Local Economic Livelihood Program	20% Development Fund	500,000.00	100% Completed
3. Spring Development for Irrigation Program	20% Development Fund	399,000.00	100% Completed
4. Rehabilitation of Roads/Farm to Market Roads – Municipalwide	20% Development Fund	499,400.00	100% Completed
5. Purchase of Medical Equipment	5% GAD Fund	1,650,000.00	100% Completed
6. Purchase of Climate Resistant/Certified Seeds	5% LDRRM Fund	500,000.00	100% Completed
7. Assistance for the victims and restoration of damages brought by natural calamities	5% LDRRM Fund	1,695,239.10	100% Completed

B. Scope of the Audit

A financial and compliance audit was conducted on the operations of the municipal government of Calayan, Cagayan for the year ended December 31, 2016. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such

other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Calayan due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P145,734,858.12 as of year-end.

D. Significant Findings and Recommendations

Financial and Compliance Audit

1. **Collections amounting to P4,255,888.87 were not deposited intact at the end of the year contrary with COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.**

   We recommended that all undeposited collections totalling P4,255,888.87 as of December 31, 2016 should be deposited intact with its authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of possible loss, misapplication or misappropriation.

2. **The annual GAD Plan and Budget (GPB) amounting to P5,700,797.00 was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, thus, identified programs, projects and activities cannot be ascertained whether it is in response with the gender issues and concerns of the locality.**

   We recommended management to comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget. The GAD Focal Person is advised to monitor and evaluate the implementation of programs and activities of the approved GPB.

3. **The Local Disaster Risk Reduction and Management Plan did not include the goals and objectives of thematic areas, performance indicators and measures formulated by the National Disaster Risk Reduction and management Plan (NDRRMP).**

We recommended to the Sanggunian Bayan Members to facilitate the creation of position for LDRRM Officer or its equivalent in accordance to Section 4.2 of JMC No. 2014-01 (NDRRMC-DILG_DBM-CSC) dated April 4, 2014.

Management should revisit the LDRRMP and ensure that performance indicators and measures are specific, measurable, achievable relevant and time bound to facilitate assessment of the progress toward the achievement of the outcomes, objectives and goals. Moreover, the approved LDRRMP as well as the LDRRMFIP are submitted to the OCD for review and evaluation.

4. **Procurement of goods amounting to P6,135,260.92 were not supported with required supporting documents in violation of Section 4(5) and (6) of PD 1445 and COA Circular No. 2012-01 dated June 14, 2012, thus casting doubt on the validity, propriety and legality of the transactions.**

We recommended that Municipal Accountant ensures that the supporting documents are complete before effecting payment to prove the validity, propriety and legality of the claim pursuant to existing law, rules and regulations. Moreover, management is advised to submit the lacking documents and comply with the other deficiencies noted to avoid audit suspension/disallowance of the transactions.

Value for Money Audit

5. **Several programs, projects and activities under the 20% development fund amounting to P3,100,000.00 were not fully utilized during the year, hence deprived the intended beneficiaries of the socio – economic benefits that could have been derived thereat.**

We recommended to management to fast tract the completion of all on–going and not implemented projects funded projects under the 20% Development Fund to optimize utilization thereof and timely brings the desired benefits to the intended beneficiaries. Likewise, the concerned department is advised to monitor regularly the status of implementation of the 20% Development Plan to achieve the desired goals and benefits.

E. Status of Implementation of Prior Year's Audit Recommendations

Of the nine (9) audit recommendations embodied in the 2015 Annual Audit Report, five (5) were fully implemented, two (2) were partially implemented and two (2) were not implemented as shown in Part III of this report.